

**SUBSTITUTE FOR
HOUSE BILL NO. 5045**

A bill to amend 1966 PA 346, entitled
"State housing development authority act of 1966,"
by amending sections 48g and 48i (MCL 125.1448g and 125.1448i),
section 48g as added by 1981 PA 173 and section 48i as amended by
2004 PA 540.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 48g. (1) The person making the sale shall execute deeds
2 specifying the names of the parties in the action, the date of the
3 land contract or mortgage held by the authority, when and where it
4 was recorded, a description of the premises sold, and the amount
5 for which each parcel of land described in the deed was sold. ~~and~~
6 ~~shall indorse upon~~

7 **(2) The person making the sale shall state in** each deed



1 **executed under subsection (1) the time it becomes when the deed**
 2 **will become** operative, **subject to subsection (5)**, if the premises
 3 are not redeemed according to law. Unless the premises or ~~any a~~
 4 ~~parcel of them are~~ **land is** redeemed within the time limited for
 5 redemption the deed ~~shall become~~ **becomes** operative as to all
 6 parcels not redeemed, and ~~shall vest~~ **vests** in the grantee named in
 7 the deed or ~~his or her~~ **the grantee's** heirs or assigns all the
 8 right, title, and interest ~~which that~~ the mortgagor had at the time
 9 of the execution of the mortgage or at any time ~~thereafter~~ **after**
 10 **the execution of the mortgage.**

11 **(3) ~~(2)~~ The Except as otherwise provided under subsection (5),**
 12 **the deed of sale executed under subsection (1) and the affidavit**
 13 **required under section 3240(2) of the revised judicature act of**
 14 **1961, 1961 PA 236, MCL 600.3240(2), must,** as soon as practicable ~~7~~
 15 and within 20 days after the sale, ~~shall be deposited~~ **recorded** with
 16 the register of deeds of the county in which the ~~land~~ **property**
 17 described in the deed of sale is ~~situated, and the~~ **located. Upon**
 18 **receipt of the deed of sale, the register of deeds shall indorse**
 19 ~~upon~~ **do all of the following:**

20 **(a) Endorse on** the deed the time ~~it was~~ **the deed was** received.
 21 ~~and shall record~~

22 **(b) Record** the deed at length in a book ~~to be provided in his~~
 23 ~~or her~~ **the register of deed's** office for ~~that the~~ purpose and shall
 24 ~~index of recording deeds.~~

25 **(c) Index** the deed in the regular index of deeds. ~~7 and the~~
 26 ~~fee~~

27 **(4) If a deed is recorded within the 20-day period described**
 28 **under subsection (3), both of the following apply:**

29 **(a) The interest on the sum that was due begins to accrue from**



1 the date of the sale.

2 (b) The applicable redemption period runs from the date of the
3 sale.

4 (5) If a deed is not recorded within the 20-day period
5 described under subsection (3), the sale is not invalid, but both
6 of the following apply:

7 (a) The interest on the sum that was bid begins to accrue on
8 the date the deed is recorded.

9 (b) The applicable redemption period begins on the date the
10 deed is recorded.

11 (6) The fee for recording the deed ~~shall~~**must** be included
12 among the other costs and expenses allowed by law.

13 (7) If the premises or ~~any a~~ parcel of ~~them are redeemed~~**land**
14 **described in a deed recorded under this section is redeemed**, the
15 register of deeds shall ~~write~~**do all of the following**:

16 (a) Write "redeemed" on the face of the ~~record deed~~. ~~the word~~
17 ~~"redeemed" and shall write at what~~

18 (b) Write the date the entry ~~is described~~ under subdivision
19 (a) was made. ~~and sign~~

20 (c) Sign the entry with ~~his or her~~ the register of deed's
21 official signature.

22 Sec. 48i. (1) ~~The~~**Except as otherwise provided under this**
23 **subsection and section 48g(5), the** mortgagor, the mortgagor's
24 heirs, executors, administrators, or any person lawfully claiming
25 under the mortgagor or the mortgagor's heirs, executors, or
26 administrators may redeem the entire premises sold by paying,
27 within 6 months from the date of the sale, to the purchaser or the
28 purchaser's executors, administrators, or assigns, or to the
29 register of deeds in whose office the deed of sale is deposited as



1 provided in the court rules, for the benefit of the purchaser, the
2 sum ~~which-that~~ was bid with interest from the date of the sale at
3 the interest rate provided for by the mortgage.

4 (2) ~~The~~ **Except as otherwise provided under section 48g(5), the**
5 vendee of a land contract, the vendee's heirs, executors,
6 administrators, or any person lawfully claiming under the vendee of
7 a land contract or the vendee's heirs, executors, or administrators
8 of a land contract may redeem the entire premises sold within 6
9 months from the date of the sale by paying to the purchaser or the
10 purchaser's executors, administrators, or assigns, or to the
11 register of deeds in whose office the deed of sale is deposited as
12 provided in the court rules, for the benefit of the purchaser, the
13 sum which was bid with interest from the date of the sale at the
14 interest rate provided for by the land contract. In case the sum is
15 paid to the register of deeds, the sum of \$5.00 ~~shall-must~~ be paid
16 to the register of deeds as a fee for the care and custody of the
17 redemption money.

18 (3) ~~Upon-On~~ the payment of sums required under this section,
19 the deed of sale is void. If a distinct lot or parcel separately
20 sold is redeemed, leaving a portion of the premises unredeemed,
21 then the deed of sale is void only as to the portion or portions of
22 the premises which are redeemed. The register of deeds shall not
23 determine the amount necessary for redemption. The purchaser shall
24 attach an affidavit with the deed to be recorded that states the
25 exact amount required to redeem the property, including any daily
26 per diem amounts, and the date by which the property must be
27 redeemed ~~shall-must~~ be stated in the certificate of sale. The
28 purchaser may include in the affidavit the name of a designee
29 responsible on behalf of the purchaser to assist the person



1 redeeming the property in computing the exact amount required to
2 redeem the property. The designee may charge a fee as stated in the
3 affidavit and may be authorized by the purchaser to receive
4 redemption funds. The purchaser shall accept the amount computed by
5 the designee.

6 (4) The amount stated in any affidavits recorded under this
7 section ~~shall~~**must** be the amount necessary to satisfy the
8 requirements for redemption under this section.